

Mutual Funds

Mutual funds are a way for investors to pool their money so they can invest in many different stocks or bonds. Each investor is charged a percentage of his investment as a fee to pay for the expenses of having a professional fund. Mutual funds are the best alternative for most people for several reasons:

- They offer the average investor an opportunity to have professional management at a relatively modest cost.
- They automatically diversify your portfolio.
- Some funds invest in stocks, bonds, and cash equivalents, which give you even greater diversification.
- They require only a small amount of money to get started, sometimes as little as \$25.

Like stocks, some mutual funds are riskier than others, so be sure to read the fund's objectives and know what it invests in. Will your money be buying stocks in blue chip companies or in the corporations of developing countries? Although past performance is no guarantee of the future, look at how the fund has done over the last several years and compare it to an applicable index to see if it kept pace with its competitors. Also consider the expense ratio (the costs of owning the fund). The lower it is, the more of your return you get to pocket.

Risk Level of Mutual Funds

Mutual funds tend to be less risky than individual stocks because their investment in any one stock is relatively small compared to their entire holdings. If one company takes a nosedive, the effect on the fund is usually minimal, or at least diluted. When entire sectors, such as technology stocks, head downhill, the impact can be great if the fund is heavily invested in technology stocks.